(i) Direct and indirect taxes should be cut down, so that the consumers have higher disposable incomes (income after paying direct tax i.e. income tax) on the one hand and the goods should become cheaper on the other hand thus there is hope that the demand might pick up.

(ii) The burden of direct tax, specially the income tax, divdend tax, interest tax are slashed to enhance the disposable income (***i.e income after direct tax payment***)—

(iii) Salaries and wages should be revised by the government to encourage general spending by the consumers (as the Government of India implemented the recommendations of the fifth pay commission without much deliberation in 1996–97).

(iv) Indirect taxes such as custom duty, excise duty (cenvat), sales tax, etc. should be cut down so that produced goods reach the market at cheaper prices.

(v) The government usually goes on to follow a cheap money supply policy by slashing down the interest rates across the board and the lending procedure is also liberalised.

(vi) Tax breaks are announced for new investments in the productive areas. etc.

All the above-given measures were taken up by the United Front Government in 1996–97 to pull the economy out of the menace of recession.[81] The forthcoming Government took several other such measures by the end of 1998–99 onwards (the NDA Government). Ultimately, the measures taken up by the Governments acompanied by a general recovery in the world economy, the Indian economy started recovering recovery from the bout of recession. Many experts had already predicted a possibility of depression with a zero per cent rate of inflation.[82] Although this did not happen[83].

GROWTH RECESSION

An expression coined by economists to describe an economy that is growing at such a slow pace that more jobs are being lost than are being